

high,” says a senior official of the Adani Group, who declined to be named as he is not authorised to speak to the media. “Existing funds from operations and cash balances in each company are enough to repay all existing long-term debt and hence there is no refinancing risk.”

The Hindenburg report didn’t stop the group from courting investors. A little over a month after the report came out, it held a roadshow in Singapore; it was followed by another in Hong Kong that was attended by over a dozen global banks including BNP Paribas, Deutsche Bank, DBS Bank, Standard Chartered Bank, ING, MUFG and Mizhuo.

However, the publication of the report has impacted its pace of growth. “The pace at which the group was growing has slowed down for the simple reason that they do not want to take any risk related to potential default at this juncture in a negative environment where a genuine problem gets

blown out of proportion,” says J.N. Gupta, Founder & Managing Director of proxy advisory firm Stakeholders Empowerment Services.

The group has reassured investors that there is no liquidity crisis and even pre-paid certain debt obligations to instil more confidence; its debt was pegged at ₹2.27 lakh crore or \$27.3 billion, as of March 31, 2023. It has paid back around \$2.15 billion worth of loans taken by pledging shares in its listed firms and another \$500-million loan it took to acquire Ambuja Cements. It has also pre-paid ₹7,374 crore worth of loans that were taken by pledging shares in four group firms.

More importantly, the group has said that irrespective of the massive erosion in its valuations, it remains firmly focussed on its green hydrogen business—executed under the aegis of Adani New Industries Ltd (ANIL)—along with its focus areas of airports, data centres, metals & mining (it is already a leader with 50 per cent market share in the

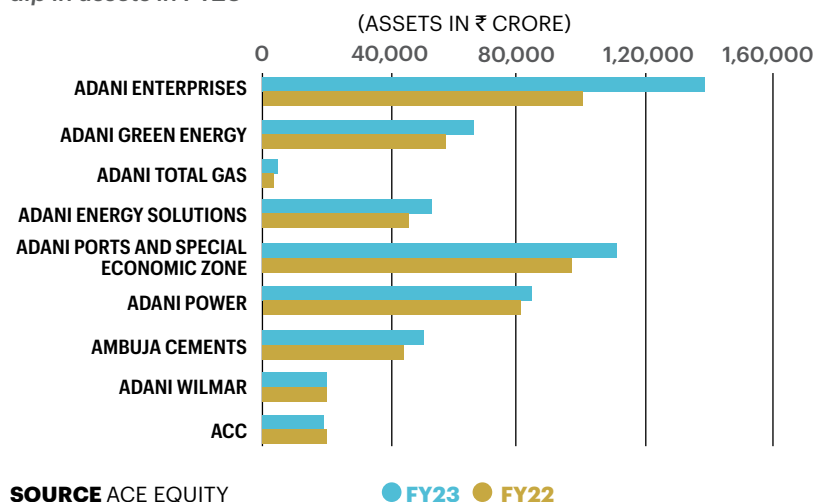
mine developer & operator or MDO segment) and roads, and is looking to unlock value in these verticals. In fact, Founder & Chairman Gautam Adani referred to new businesses becoming market-ready while announcing the H1FY24 results of Adani Enterprises on November 2.

“We will be divesting some businesses including airports, roads and some other businesses at some point in the future,” says the Adani Group official quoted earlier, while highlighting the fact that such divestments and stake sales will bring in significant amount of liquidity.

At the same time, the group also needs to keep an eye on another important metric—the return on capital employed (ROCE)—as many global investors consider this number while making an investment decision. For instance, legendary investor Mark Mobius, who had said earlier that he has stayed away from the group due to debt concerns, recently revealed that the first thing he looks at is the return on capital,

ASSET TRACKER

➤ On a cumulative basis, Adani Group assets have grown 16.58 per cent in FY23 ➤ Only Adani Wilmar and ACC have seen a marginal dip in assets in FY23



“It seems whatever panic had to happen around the Adani counters has already happened... there could be some amount of stability going ahead”

J.N. GUPTA
FOUNDER & MD, STAKEHOLDERS
EMPOWERMENT SERVICES